# Bank Underwriting Policies - Complete Reference Guide

**Effective Date:** January 1, 2024 **Version:** 2.1

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# Policy UW-001: Credit Score Requirements

**Document ID:** UW-001 **Version:** 2.1

## Credit Score Tiers and Loan Limits

Our lending decisions are based on credit score tiers that determine maximum loan amounts and approval requirements.

### Excellent Credit (750+)

- **Maximum Loan Amount:** $50,000
- **DTI Requirement:** Less than 43%
- **Process:** Auto-approval for qualified applicants
- **Documentation:** Standard income verification
- **Interest Rate:** Prime rate + 0-2%

### Good Credit (700-749)

- **Maximum Loan Amount:** $35,000
- **DTI Requirement:** Less than 40%
- **Process:** Approval with income verification required
- **Documentation:** Last 2 years W-2 forms or tax returns, recent pay stubs, employment verification
- **Interest Rate:** Prime rate + 2-4%

### Fair Credit (650-699)

- **Maximum Loan Amount:** $20,000
- **DTI Requirement:** Less than 36%
- **Process:** Approval requires collateral or co-signer
- **Documentation:** Full income verification, proof of assets
- **Interest Rate:** Prime rate + 4-6%

### Poor Credit (600-649)

- **Maximum Loan Amount:** $10,000
- **DTI Requirement:** Less than 30%
- **Process:** Manual review required, both collateral and co-signer needed
- **Documentation:** Extensive financial documentation, explanation of credit issues
- **Interest Rate:** Prime rate + 6-8%

### Below 600

- **Maximum Loan Amount:** Generally declined
- **Exceptions:** CEO approval required for exceptional circumstances
- **Requirements:** Significant compensating factors, substantial down payment or collateral

## Credit Score Verification

All credit scores must be obtained from at least two of the three major credit bureaus (Equifax, Experian, TransUnion). The middle score will be used for tier determination.

## Recent Credit Events

Applications with the following recent credit events require additional review:

- Bankruptcy within past 7 years
- Foreclosure within past 5 years
- Collections or charge-offs within past 2 years

## Annual Review

This policy is reviewed annually and may be adjusted based on market conditions and regulatory requirements.

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# Policy UW-002: Debt-to-Income (DTI) Ratio Policy

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## DTI Calculation Method

**Debt-to-Income Ratio Formula:**

```
DTI = (Total Monthly Debt Payments / Gross Monthly Income) × 100
```

### What Counts as Monthly Debt:

- Mortgage or rent payments
- Car loans and leases
- Student loan payments
- Credit card minimum payments
- Personal loan payments
- Child support or alimony payments
- Any other recurring debt obligations

### What Counts as Gross Monthly Income:

- Base salary or wages (before taxes)
- Bonuses and commissions (averaged over 2 years)
- Investment income
- Rental income (75% of total rental income)
- Social Security or pension income
- Self-employment income (net profit after expenses)

## DTI Approval Thresholds

### Excellent Tier (DTI ≤ 28%)

- **Risk Level:** Minimal
- **Processing:** Standard approval
- **Required Actions:** Verify income and debt obligations

- **Notes:** Optimal debt load, strong repayment capacity

### Good Tier (DTI 29-36%)

- **Risk Level:** Moderate
- **Processing:** Standard terms
- **Required Actions:** Full income and employment verification
- **Notes:** Acceptable debt load for stable income

### Fair Tier (DTI 37-43%)

- **Risk Level:** Elevated
- **Processing:** Higher interest rate required
- **Required Actions:** Detailed cash flow analysis, review of compensating factors
- **Notes:** Borderline acceptable, requires strong credit score and stable employment

### Poor Tier (DTI 44-50%)

- **Risk Level:** High
- **Processing:** Requires strong compensating factors
- **Required Actions:** Comprehensive financial review, proof of reserves
- **Notes:** Only approved with exceptional circumstances

### Decline Threshold (DTI > 50%)

- **Standard Rule:** Generally declined
- **Exception:** May be approved if gross annual income exceeds $200,000
- **Additional Requirements:** Liquid assets exceeding 12 months of debt payments, excellent credit history

## Compensating Factors for High DTI

High DTI applications may be approved if applicant demonstrates:

1. **Substantial Liquid Assets**
    - Liquid assets exceeding 6 months of total debt payments
    - Includes: savings accounts, checking accounts, money market accounts, stocks, bonds
2. **Documented Income Increase**
    - Recent promotion with salary increase of 15% or more
    - New job offer with higher compensation
    - Must provide documentation and verification
3. **Significant Retirement Savings**
    - Retirement account balances exceeding $100,000
    - Demonstrates long-term financial stability
4. **High Net Worth**
    - Net worth exceeding $500,000
    - Includes all assets minus all liabilities
5. **Exceptional Credit History**
    - Credit score above 800
    - No late payments in past 5 years

    - Long credit history (15+ years)

## DTI Calculation Examples

### Example 1: W-2 Employee

- Monthly Gross Income: $6,000
- Monthly Debts: $2,100 (rent $1,200, car $400, credit cards $500)
- DTI Calculation: ($2,100 / $6,000) × 100 = 35%
- Result: Good Tier

### Example 2: Self-Employed

- Monthly Gross Income: $8,500 (net business income)
- Monthly Debts: $3,800 (mortgage $2,200, student loans $800, car $800)
- DTI Calculation: ($3,800 / $8,500) × 100 = 44.7%
- Result: Poor Tier (requires compensating factors)

### Example 3: High Earner

- Monthly Gross Income: $20,000
- Monthly Debts: $12,000 (mortgage $6,000, investment property $3,000, cars $2,000, other $1,000)
- DTI Calculation: ($12,000 / $20,000) × 100 = 60%
- Result: Normally declined, but annual income $240,000 > $200,000, so exception applies

## Special Considerations

### Self-Employed Applicants

- Income must be averaged over 2 years
- Requires complete tax returns (Form 1040 with all schedules)
- Business expenses may be added back to income in certain cases

### Seasonal Income

- Income must be averaged over full year
- Minimum 2-year history required
- Reserves of 6 months debt payments required

### Commission-Based Income

- Must average commissions over 2 years
- Base salary considered separately from commissions
- Declining commission trend results in use of lower year's income

## Policy Updates

This DTI policy is reviewed quarterly and updated based on:

- Default rates by DTI tier
- Economic conditions and unemployment rates
- Regulatory changes
- Industry best practices

**Last Review:** January 15, 2024 **Next Review:** April 15, 2024

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# Policy UW-003: Income and Employment Verification

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## Required Documentation by Employment Type

### W-2 Employees

**Standard Requirements:**

1. **Last 2 Years W-2 Tax Forms**
    - Must show continuous employment or reasonable gaps
    - Year-over-year income should be stable or increasing
2. **Most Recent 2 Pay Stubs (within 30 days)**
    - Must show year-to-date income
    - Must include employer name and contact information
    - Should reflect consistent pay periods
3. **Employment Verification Letter from Employer**
    - Must be on company letterhead
    - Include: position title, hire date, salary, employment status
    - Contact information for HR department verification

**Additional Requirements for Bonus/Commission Income:**

- Last 2 years tax returns if bonuses/commissions exceed 25% of base salary
- Employer letter confirming bonus/commission structure
- Average of 2 years used for qualifying income

### Self-Employed Applicants

**Required Documents:**

1. **Last 2 Years Complete Tax Returns (Form 1040 with all schedules)**
    - Including Schedule C (business income/loss)
    - Schedule E if rental income claimed
    - All supporting schedules and forms
2. **Year-to-Date Profit & Loss Statement**
    - Must be for current calendar year
    - Prepared by applicant or accountant
    - Should show income and expenses in detail
3. **3 Months Business Bank Statements**
    - Most recent consecutive 3 months
    - Should corroborate income claimed
    - Must show sufficient cash flow
4. **CPA Verification Letter (for loans > $25,000)**

    - Confirms business is operating and viable
    - Validates income reported on P&L
    - Includes CPA license number and contact info

**Business Ownership Requirements:**

- Ownership of 25% or more = self-employed
- 2-year history in same business or industry required
- Business must show profitability in most recent year

### Contract/1099 Workers

**Required Documents:**

1. **Last 2 Years Tax Returns**
    - Form 1040 with Schedule C
    - 1099 forms from all clients
2. **Current Contracts or Agreements**
    - Active contracts showing ongoing work
    - Total contract value and payment terms
3. **3 Months Bank Statements**
    - Showing deposits from clients/contracts

**Stability Requirements:**

- Minimum 2-year history as contract worker
- At least one client relationship > 1 year
- Consistent income demonstrated

### Rental Income

**Documentation:**

- Current lease agreements for all properties
- Last 2 years Schedule E from tax returns
- Proof of property ownership

**Calculation:**

- 75% of gross rental income may be used
- Must deduct PITI (principal, interest, taxes, insurance) for property

### Retirement/Social Security Income

**Documentation:**

- Award letter or benefit statement
- Most recent 1099-SSA (for Social Security)
- Bank statements showing regular deposits

**Notes:**

- Full amount may be used for qualification
- Must demonstrate income will continue for at least 3 years

## Income Stability Requirements

### Year-over-Year Income Decline

**Decline of 20% or More:**

- Written explanation from applicant required
- Explanation must be reasonable (e.g., maternity leave, business cycle, industry downturn)
- May require additional reserves or compensating factors

**Acceptable Explanations:**

- Temporary medical leave (with return to work confirmation)
- Pandemic-related business disruption (with recovery demonstrated)
- Change from full-time to part-time (if deliberate choice with stable ongoing income)

**Unacceptable Trends:**

- Continued declining income over 2+ years
- Loss of major client/contract with no replacement
- Business failure or bankruptcy

### Job Changes Within Past 6 Months

**Requirements:**

- Completion of probation period (typically 90 days)
- Confirmation letter from new employer
- Explanation of job change reason

**Acceptable Job Changes:**

- Promotion or career advancement
- Move to same field/industry with higher compensation
- Relocation for spouse's career (if approved by employer)

**Additional Scrutiny Required:**

- Multiple job changes in 12 months
- Change to different industry
- Move from W-2 to self-employment
- Reduction in salary

### High-Volatility Industries

**Industries Requiring Additional Documentation:**

- Hospitality and restaurants
- Retail (excluding management)
- Construction and trades
- Real estate sales
- Entertainment and arts
- Seasonal businesses

**Additional Requirements:**

- 6 months reserves (cash to cover 6 months of debt payments)
- 3-year income history (instead of 2 years)

- Employment verification from current and prior employer

## Verification Process

### Standard Verification Steps:

1. **Initial Review**
    - Underwriter reviews all submitted documents
    - Checks for completeness and consistency
2. **Direct Employer Verification**
    - Phone call or written verification to employer
    - Confirms employment status, position, salary
    - Verifies hire date and tenure
3. **Income Calculation**
    - Calculate stable monthly income
    - Average variable income (bonuses, commissions) over 2 years
    - Apply appropriate income decline or volatility adjustments
4. **IRS Tax Return Verification (for loans > $50,000)**
    - Request Form 4506-C (IRS Tax Return Transcript)
    - Compare submitted returns with IRS records
    - Verify income reported matches

### Red Flags Requiring Additional Review:

- Handwritten pay stubs
- Pay stubs without employer contact information
- Employer that cannot be verified (phone disconnected, no business record)
- Tax returns showing losses but pay stubs showing income
- Significant discrepancies between documents
- Recent large deposits not explained
- Bank statements showing NSF or overdrafts

## Self-Employment Income Calculation

### Standard Calculation:

```
Net Self-Employment Income =
  Line 31 (Form 1040) - Non-recurring income + Allowable add-backs
```

### Allowable Add-Backs:

- Depreciation
- Business use of home
- Depletion
- One-time business expenses

### Non-Allowable Add-Backs:

- Meals and entertainment

- Vehicle expenses (unless business vehicle)
- Excessive business travel

### Two-Year Average:

If self-employment income varies year-to-year, average the two years. If income is declining, use the lower year or explain the decline.

## Exception Procedures

### When Full Documentation Cannot Be Provided:

#### Bank Statement Only Income Verification:

- Available for self-employed with 12-24 months bank statements
- Requires higher credit score (720+)
- Higher interest rate applied
- Maximum DTI of 40%

#### Alternative Documentation:

- CPA letter with detailed income breakdown
- Contracts showing guaranteed income
- Court-ordered payments (alimony, child support) with proof of receipt

## Policy Compliance

All income verification must comply with:

- Equal Credit Opportunity Act (ECOA)
- Fair Housing Act
- Truth in Lending Act (TILA)
- State and local lending regulations

Underwriters must not discriminate based on source of income, provided it is verifiable and likely to continue.

**Last Review:** January 15, 2024 **Next Review:** April 15, 2024

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# Policy UW-004: Exception Request and Approval Process

**Document ID:** UW-004 **Version:** 2.1

## When Exception Requests Are Required

An exception request must be submitted when:

- Applicant does not meet standard policy guidelines
- Loan amount exceeds tier maximum for credit score
- DTI exceeds standard approval threshold
- Recent adverse credit events require waiver
- Alternative documentation used instead of standard requirements

- Any combination of elevated risk factors

## Exception Request Requirements

### Primary Underwriter Responsibilities:

1. **Document All Compensating Factors**
    - List all positive factors that offset the policy exception
    - Provide specific evidence for each factor
    - Explain why exception is warranted
2. **Complete Exception Request Form**
    - Reason for exception clearly stated
    - Policy guideline being exceeded
    - Amount of deviation from policy
    - Compensating factors documented
    - Risk assessment summary
3. **Include Supporting Documentation**
    - All applicant financial documents
    - Credit report and score verification
    - Any letters of explanation from applicant
    - Comparable approved loans (if available)

## Valid Compensating Factors

### Strong Compensating Factors:

**1. High Net Worth Individuals**

- Net worth exceeding $500,000
- Liquid assets > 12 months total debt payments
- Diversified investment portfolio
- Real estate holdings (equity documented)

**2. Corporate Executives with Deferred Compensation**

- Senior executive position verified
- Deferred compensation > $200,000
- Employment contract or offer letter
- Company financials showing stability

**3. Medical Bankruptcy with Full Recovery**

- Medical bankruptcy 2+ years ago
- Medical event fully documented
- Full recovery with stable income since
- No other credit issues before or after

**4. Temporary Income Disruption**

- Documented circumstances (pandemic, medical leave, maternity)
- Clear end date with return to normal income
- Recovery already demonstrated

- No impact on current ability to pay

**5. Significant Down Payment or Collateral**

- Down payment > 30% for secured loans
- Collateral value exceeds 150% of loan amount
- Additional guarantor with strong financials

**6. Long-term Customer Relationship**

- Customer for 10+ years
- Multiple accounts in good standing
- History of timely payments on all products
- Demonstrated loyalty and responsibility

### Moderate Compensating Factors:

- Credit score at higher end of tier (e.g., 695 in Fair tier)
- Minimal debt outside of mortgage/rent
- Significant retirement savings ($100,000+)
- Stable employment history (10+ years same employer)
- Professional license or certification in demand field
- Recent promotion with income increase

## Approval Authority Levels

### Level 1: Senior Underwriter Review

**Authority:** Loans up to $25,000 with single minor exception **Examples:**

- DTI 1-3% over limit with compensating factors
- Credit score 5-10 points below tier threshold
- Income verification using alternative documentation
- Job change within 6 months with same industry/higher pay

**Review Time:** 1-2 business days

### Level 2: VP of Underwriting Approval

**Authority:** Loans $25,001 to $100,000 OR multiple minor exceptions OR one major exception **Examples:**

- DTI 4-8% over limit
- Credit score 11-25 points below threshold
- Recent bankruptcy (2-4 years) with recovery
- Self-employment with 1-2 year history (vs. 2-year requirement)
- Combination of 2-3 minor exceptions

**Review Time:** 2-3 business days

### Level 3: Chief Credit Officer Approval

**Authority:** Loans over $100,000 OR multiple major exceptions OR high-risk approvals **Examples:**

- DTI over 50% (even with high income)
- Credit score below 600 with exceptional circumstances
- Multiple recent credit events
- New business (< 1 year self-employment history)

- Loan amount significantly exceeding credit tier maximum
- Combination of 3+ exceptions

**Review Time:** 3-5 business days

### Level 4: CEO Approval (Rare)

**Authority:** Extremely high-risk or unusual situations **Examples:**

- Loans > $250,000 with significant exceptions
- Applicants with unique circumstances not covered by policy
- Potential litigation or regulatory concerns
- Strategic relationship decisions

**Review Time:** 5-10 business days

## Exception Review Process

### Step 1: Primary Underwriter Submits Request

- Complete exception form
- Attach all documentation
- Write detailed justification (minimum 500 words for major exceptions)

### Step 2: Peer Review (for Levels 2-4)

- Second underwriter reviews file independently
- Provides concurring or dissenting opinion
- Identifies any missing information

### Step 3: Approval Authority Review

- Reviews all documentation and underwriter analysis
- May request additional information
- Makes final decision: Approve, Deny, or Approve with Conditions

### Step 4: Decision Communication

- Underwriter notified of decision
- Conditions clearly stated if approved with conditions
- Denial reasons documented for compliance

### Step 5: File Documentation

- All exception approvals documented in loan file
- Decision rationale recorded
- Tracking for portfolio monitoring

## Exception Approval Conditions

Common conditions attached to exception approvals:

1. **Higher Interest Rate**
    - Typically 0.25% - 1.5% above standard rate
    - Compensates for increased risk
2. **Larger Down Payment Required**

- Increase equity/collateral
- Reduce loan-to-value ratio

3. **Shorter Loan Term**
    - Faster payoff reduces long-term risk
    - Higher monthly payment but less total interest
4. **Additional Reserves Required**
    - Proof of 6-12 months reserves must be maintained
    - Verified periodically during loan term
5. **Co-signer or Guarantor Required**
    - Additional party with strong credit/income
    - Joint liability for loan repayment
6. **Collateral or Security**
    - Lien on additional assets
    - Pledge of investment accounts
7. **Periodic Income Verification**
    - Annual verification of income for first 2-3 years
    - Ensures continued ability to pay

## Decline After Exception Review

If exception request is denied:

1. **Applicant Notification**
    - Adverse action notice sent within 30 days
    - Specific reasons for decline provided
    - Information on reapplication process
2. **Alternative Options Offered**
    - Lower loan amount within policy guidelines
    - Secured loan vs. unsecured
    - Co-applicant or co-signer addition
    - Wait period to improve credit/finances
3. **Reapplication Guidelines**
    - Wait 90 days before reapplying with same circumstances
    - Immediate reapplication allowed if circumstances changed (e.g., paid down debt, income increased)

## Exception Tracking and Reporting

### Portfolio Monitoring:

- Track performance of exception approvals vs. standard approvals
- Default rates by exception type
- Loss rates on exception loans

**Quarterly Exception Report:**

- Number and dollar volume of exceptions by type
- Approval and denial rates
- Average deviation from policy
- Risk assessment of exception portfolio

**Annual Policy Review:**

- Evaluate whether exception trends indicate need for policy changes
- Adjust approval authorities if necessary
- Update compensating factor criteria based on performance data

## Prohibited Exceptions

The following may NOT be approved under any circumstances:

1. **Fraudulent or Misrepresented Information**
    - Falsified documents
    - Intentionally omitted material information
2. **Active Criminal Investigation Related to Finances**
    - Money laundering
    - Fraud or embezzlement charges
    - Tax evasion
3. **Applicants on OFAC List or Sanctioned Entities**
    - Compliance with federal regulations required
4. **Loans for Illegal Purposes**
    - Any loan proceeds intended for illegal activities
5. **Excessive Risk to Institution**
    - Loans that would violate bank's concentration limits
    - Exposure that threatens bank's safety and soundness

## Exception Training Requirements

All underwriters authorized to request exceptions must complete:

- Annual exception policy training
- Risk assessment certification
- Compliance and fair lending training
- Document fraud detection training

Senior Underwriters and above must also complete:

- Advanced risk analysis course
- Exception approval authority training
- Portfolio management training

**Last Review:** January 15, 2024 **Next Review:** April 15, 2024

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## Document Revision History

| Version | Date | Changes | Author |
|---|---|---|---|
| 2.1 | January 15, 2024 | Quarterly review - no changes | Underwriting Dept |
| 2.0 | October 1, 2023 | Updated DTI thresholds, added high-income exception | Chief Credit Officer |
| 1.9 | July 1, 2023 | Added self-employment income calculation details | Underwriting Dept |
| 1.8 | April 1, 2023 | Revised exception approval authority levels | VP Underwriting |

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**END OF POLICY DOCUMENT**